

Office Memorandum

Subject: Insurance Surety Bonds (ISB) as an alternative to Bank Guarantee- reg.

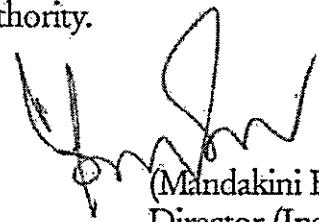
This is to inform that Insurance Surety Bond (ISB) is envisaged to be a viable alternative/complement to Bank Guarantee (BG). ISBs aim to offer the benefit of freeing up working capital of contractors, which otherwise is locked up as collaterals in lieu of obtaining BGs. ISBs are instruments where insurance companies act as 'Surety' and provides the financial guarantee that the contractor will fulfil its obligation as per the agreed terms.

2. The Insurance Regulatory and Development Authority of India (IRDAI) has issued the IRDAI (Surety Insurance Contracts) Guidelines, 2022 to promote and regulate sustainable and healthy development of Surety Insurance Business in India.

3. At present, the insurance companies are offering Bid & Performance Guarantee Bonds. They are one of the most cost-effective ways to finance contract security options and enable ease of doing business. As on 31.8.2024, Insurance Surety Bond amounting to Rs. 6,390 crores have been issued, out of which Performance Bonds comprise of Rs. 1,400 crores.

4. Against the above background, it is requested to explore Bid & Performance Guarantee Bonds and to adopt and promote the use of surety bonds in projects related to the your ministry.

5. This issues with the approval of the Competent Authority.



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To,

All Ministries
(As per list attached)